later.

“We don’t look for it, but we often find it,” he said. The guys who make consistently good decisions tend to be owners with skin in the game. They also tend not to take bet-the-company risks.

“The smart entrepreneurs don’t actually go for home runs,” Jason said. “They hit a ton of singles.” He mentioned Constellation Software and MTY Food Group, two of his bigger positions. Management still owns a lot of stock. And it hits lots of singles. The end result is a really nice pattern of growth without risk, he said.

To sum up: It’s important to have a company that can reinvest its profits at a high rate (20 percent or better). ROE is a good starting point and decent proxy. I wouldn’t be a slave to it or any number, but the concept is important.

You want to think about return on capital in some way — the higher, the better.

You want to think about what a business can earn on the money invested in it and its ability to reinvest cash at that rate — the longer, the better.

The road to 100-baggerdom is much, much harder otherwise.